

Coding Assignment: yfinance + Cleaning + Visualization + ML (30-day window)

Objectives

1. Fetch 5 years of daily `Close` prices for one stock using `yfinance`.
2. Clean the data (remove all `NA` values).
3. Visualize the `Close` series.
4. **Supervised task (regression):** using a 30-day rolling window, train one supervised model of your choice to predict the next-day price.
5. **Unsupervised task (direction):** using a 30-day rolling window, train one unsupervised model of your choice to predict next-day movement (Up/Down).

Setup

Install the required libraries:

```
pip install yfinance pandas scikit-learn matplotlib
```

Step-by-Step Tasks

1. **Pick a ticker.** Choose any active stock (e.g., `AAPL`, `MSFT`, `TSLA`) and document your choice in a Markdown cell.
2. **Download and clean.** Fetch 5-year daily `Close` prices and remove all `NA` values.
3. **Visualize the series.**
 - Plot the entire daily `Close` price over the 5-year period.
 - Include: title (company name + ticker), labeled axes, grid lines, and a legend.
 - (Optional) Add 50-day and 200-day simple moving averages.
4. **Feature engineering (rolling 30 days).**
 - Construct features using the previous 30 trading days.
 - Recommended baseline feature sets (choose at least one):
 - **Lag closes:**
$$[C_{t-29}, \dots, C_t]$$
 - **Lag returns:**
$$r_t = \frac{C_t}{C_{t-1}} - 1$$
 - (Optional) include technical indicators such as `SMA(5/10/20)`, `RSI`, etc.

5. Supervised regression task.

- Target: next-day close price C_{t+1} .
- Use a time-aware split (e.g., first 80% train, last 20% test).
- Train one supervised model (e.g., `Ridge`, `RandomForestRegressor`, `XGBRegressor`, etc.).
- Report evaluation metrics: MAE, MAE, RMSE, and Runtime on the test set.
- Use the most recent 30-day window to predict the next day's price.
- **Visualization requirement:**
 - Plot *predicted vs. actual* next-day prices on the test set.
 - Include a diagonal reference line ($y = x$) to show prediction accuracy.
 - Title the figure clearly (e.g., “Predicted vs. Actual Close Prices — Supervised Model”).

6. Unsupervised direction prediction.

- Objective: predict the next-day direction (Up/Down) based on

$$C_{t+1} - C_t.$$

- Train one unsupervised model (e.g., `KMeans(n_clusters=2)`).
- Recommended approach:
 - a. Fit the model on 30-day feature windows X_t .
 - b. For each cluster, compute the mean next-day return on the training set and assign:
$$\text{cluster} \rightarrow \begin{cases} \text{Up,} & \text{if mean return} > 0, \\ \text{Down,} & \text{otherwise.} \end{cases}$$
 - c. Predict the cluster for the latest 30-day window and map it to Up/Down.
 - d. Evaluate performance on the test set using accuracy or F1-score.
- **Visualization requirement:**
 - Plot the predicted vs. actual *movement direction* (Up/Down) on the test set.
 - Use different colors (e.g., green for Up, red for Down).
 - Clearly label the axes and title (e.g., “Predicted vs. Actual Next-Day Movement — Unsupervised Model”).

Visualization Summary (All Students Must Include)

Each submission must contain at least **three visualizations**:

- (a) A 5-year time series plot of the raw `Close` price.
- (b) A scatter or line plot of **predicted vs. actual next-day prices** (supervised model).

- (c) A categorical plot comparing **predicted vs. actual movement directions** (unsupervised model).

Each figure must have:

- A clear and descriptive title.
- Labeled axes with units where applicable.
- Grid lines and a readable legend.